BUSINESS TRACK · DETAILED SUBMISSION · ROUND 2



Building Meesho's Consumer-to-Manufacturer (C2M) Base

FACTORY DIRECT

Screen manufacturers on price, not size, and let them make only what is already sold. 1,400 factories by Year 4 put ₹1,995 cr of NMV 8%-12% below market, for a five-year NPV of ₹75 cr on ₹22.2 cr of capped Year-1 cash.

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Add photo

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Live prototype: meesho-dice-c2m-iitb.vercel.app

Buyers follow price and 35% of MSMEs want online sales, but returns, stock risk and know-how keep factories offline

PRIMARY RESEARCH

Objective: a factory base that sells cheaper, and stays

Bring cost-advantaged factories onto Meesho through Factory Direct, and keep them.

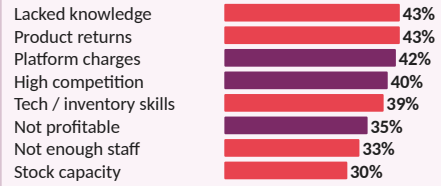
As-is: Factory › Wholesaler +15% › Reseller › Buyer
- Mark-ups stack before the buyer
- Reseller's lowest viable price ₹220: 5.4% above market
- Stock and returns sit with resellers

To-be: Factory › Pre-order › Factory Node › Buyer
- No intermediary mark-up
- Factory's lowest viable price ₹180: 13.8% below
- Made only to confirmed orders

≈ ₹1,049 cr a year of wholesaler mark-up sits inside Meesho's nine C2M categories
= ₹41,560 cr FY26 NMV [S3] × 40% in C2M categories [A6] × 6.3% mark-up share of price [A24]

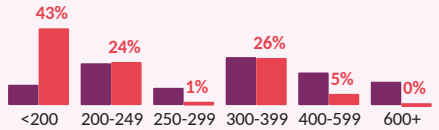
Three data sets: why factories quit, what buyers pay, what buyers would trade

2,365 ICRIER MSME survey [S4]
Why firms that tried e-commerce quit (% of quitters)



Coral = operational: a node and batches remove them. 1 in 5 that joined quit; 35% still want to join.

279 Team teardown, meesho.com [S10]
Live listings, 5 product types, 2 Oct 2026



Under ₹200: 11% of listings, 43% of reviews. Buyers pay 3-37% below listing medians.

n Team buyer survey
Meesho buyers, last 3 months (kit: research/13)

[FILL: Q6-Q8 price ladder: % choosing 7-8 day delivery at ₹10 / ₹20 / ₹40 off · Q9 % paying in advance · Q10 trust in "Sold directly by the manufacturer" · base n on each chart]

[FILL: takeaway: the majority answer and its implication]

Challenges to solve (page where we solve each)

Price discovery · p9
- ✓ Scale ≠ price
- ✓ List prices overstate demand

Unit operations · p6
- ✓ Pick, pack, ship per order
- ✓ Returns handled by the factory

Inventory & cash · p10
- ✓ Build-to-stock risk
- ✓ 45-60 day distributor terms

Demand & visibility · p8
- ✓ No reviews at the start
- ✓ District demand unknown

Retention · p8, p12
- ✓ Gap decays after the badge
- ✓ Quality slips with price

5 barriers → 6 levers, each owned by a Meesho team (pages 5-10)

Manufacturer interviews: what blocks them, by cohort (Round 1, 8 per cohort)

24 owner interviews, cohorts A, B, C

Barrier (severity)	Fulfilment	Inventory risk	Returns, RTO	Unproven demand	Cash cycle	Channel conflict
Cohort A	HIGH	HIGH	HIGH	HIGH	MED	HIGH
Cohort B	LOW	MED	MED	MED	LOW	HIGH
Cohort C	MED	HIGH	HIGH	HIGH	MED	LOW
Meesho can fix	YES	YES	YES	YES	PARTLY	PARTLY

Stakeholders' voice: published owner and leader interviews (verbatim, ≤ 25 words)

Stakeholder	Opinion (verbatim)	Problem	Problem area	Suggestion for Meesho
VM Navamani, MD, Cossmo Tex (Tiruppur) [S21]	*"Currently, domestic business is about 20%, and we are planning to increase it to 35-40% … because export markets are mostly volatile."*	Export orders swing with tariffs	Demand	**Pitch C2M as a permanent domestic hedge, not a rescue**
Ashwin Kumar, Managing Partner, NASA Impex (Tiruppur) [S21]	*"Orders of around 100 pieces tend to double costs … so 500 pieces is our preferred minimum."*	Small runs cost twice as much per piece	Operations	**Demand Brief pools district demand into batches of 500+**
Vinod Dhamija, Chairman, HCCI Panipat chapter [S9]	*"Panipat's exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly."*	Idle looms, weak domestic orders	Demand, cash	**Panipat is pilot cluster 2; 30% paid at handover**
Vidit Aatrey, CEO, Meesho (Q4 FY26 call) [S2]	*"If their quality is not that great, they do not get visibility for orders."*	New sellers start with no orders	Visibility	**Impression grants for new factories, not order subsidies**

Decision: build Factory Direct around the operational barriers (returns, stock risk, unit shipping, cash), not discounts. Owner: Category + Product.

Sources: S2 Q4 FY26 call · S3 FY26 results · S4 ICRIER 2025 · S9 The Tribune · S10 team teardown, 2 Oct 2026 · S21 Apparel Resources · S22 Round 1 interviews | Assumptions: A6, A22-A24 | Survey kit and method: Appendix B

11,645 manufacturers can carry a real price gap; offline B2B factories (8,400) in hosiery and home textiles go first

SEGMENTATION

Segment evaluation: 12 category segments × 4 cost metrics (weighted)

Segment (category)	Cluster	Floor 40%	Idle 20%	Returns 25%	Freight 15%	Score
Saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓	5.0
Home textiles	Panipat, Solapur	✓	✓	✓	-	4.7
Moulded plastics	Rajkot, Daman	✓	✓	✓	-	4.7
Hosiery & innerwear	Tiruppur, Ludhiana	✓	-	✓	✓	4.6
Imitation jewellery	Rajkot, Coimbatore	✓	✓	-	✓	4.5
Basic footwear	Agra, Bahadurgarh	✓	✓	-	✓	4.5
Steel kitchenware	Jagadhri, Wazirpur	✓	-	✓	-	4.3
Brass décor	Moradabad	✓	✗	✓	-	3.9
Bags	Nangloi, Kolkata	-	✓	-	✓	3.7
Fitted western wear	Gandhi Nagar, Bengaluru	-	✓	✗	✓	3.2
Electronics accessories	Import-assembly	✗	✓	-	✓	2.9
Ethnic wear	Surat	✗	✓	✗	✓	2.4

Rows 10-12 fail two tests: not now. Floor ✓ = factory cost ≥ 12% under the demand-weighted median; Returns ✓ = low return band; Freight ✓ = light for its value.

Market sizing: TAM → SAM → SOM (firms)

4.72 cr	5.28 lakh	1.85 lakh	55,451	19,408	11,645	1,400
	1.1%	35%	30%	35%	60%	12%
Udyam-registered MSMEs	Above micro (small + medium)	In manufacturing	Make Meesho's categories	Own 3+ of 4 cost levers	Inside the 12 screened clusters	Active C2M sellers by Year 4

TAM 55,451 make Meesho's categories · **SAM** 11,645 own ≥ 3 of 4 cost levers in the 12 clusters · **SOM** 1,400 active by Year 4 (12%) = ₹1,995 cr run-rate NMV

Target manufacturer personas (cohort score out of 5)

Export-hit knitwear owner — 4.35
Cohort A · Tiruppur
₹10-50 cr turnover · Cohort A = 72% of SAM ≈ 8,400 firms

Barrier: No unit-level ops; making to stock is a balance-sheet change
Motivation: Idle lines after the US tariff; wants a domestic hedge
Needs: Confirmed orders · no packing team · cash before 45-60 days
Reach: Association camps, 40-60 units each

Domestic home-textile maker — 4.35
Cohort A · Panipat
Small and medium units, bulky low-return SKUs

Barrier: Bulky SKUs; no way to handle online returns
Motivation: Exports −50%, domestic −35% this year: idle looms [S9]
Needs: Steady domestic orders · bulk freight · price check first
Reach: HCCI Panipat chapter; Udyam lists

Churned Meesho manufacturer — 3.55
Cohort C · Ludhiana, Surat
Cohort C = 9% of SAM ≈ 1,050 firms

Barrier: Weak first 30 orders, then a returns or RTO shock
Motivation: Catalogue and KYC already done: sunk effort to reuse
Needs: Returns capped at the node · early orders · penalty-free re-entry
Reach: Dormant-seller list; one WhatsApp re-invite

Online-elsewhere D2C maker — 3.05
Cohort B · metros
Cohort B = 19% of SAM ≈ 2,200 firms

Barrier: ₹800+ basket catalogue loses money at a ₹265 order value
Motivation: 274 mn buyers and Tier-2+ reach it lacks elsewhere
Needs: Value-tier SKUs, not discounts · no brand dilution
Reach: Seller agencies; price-check link

Least likely to adopt

Surat ethnic-wear traders
- ✗ Job out weaving and stitching: no cost ownership
- ✗ Worst return band; cluster AHP last (3.28)

Import-assemblers
- ✗ Electronics accessories: cost set by imports
- ✗ Any price gap must be funded: a subsidy

Fitted western-wear makers
- ✗ Size returns swallow the cost edge
- ✗ ₹150 fee on every return [S11]

Premium D2C lines (Cohort B)
- ✗ Brand dilution at a ₹265 order value
- ✗ The one barrier Meesho cannot fix

Recommendation to Meesho

- ✓ **Focus** on Cohort A in hosiery (Tiruppur) and home textiles (Panipat): top cost edge, low returns.
- ✓ **Re-invite** Cohort C in parallel: KYC and catalogues already on file.
- ✓ **Offer** Cohort B a separate value-tier range, never a discount on brand lines.
- ✓ **Screen** every seller on price, not turnover: 7 of the 10 largest prototype sellers fail.

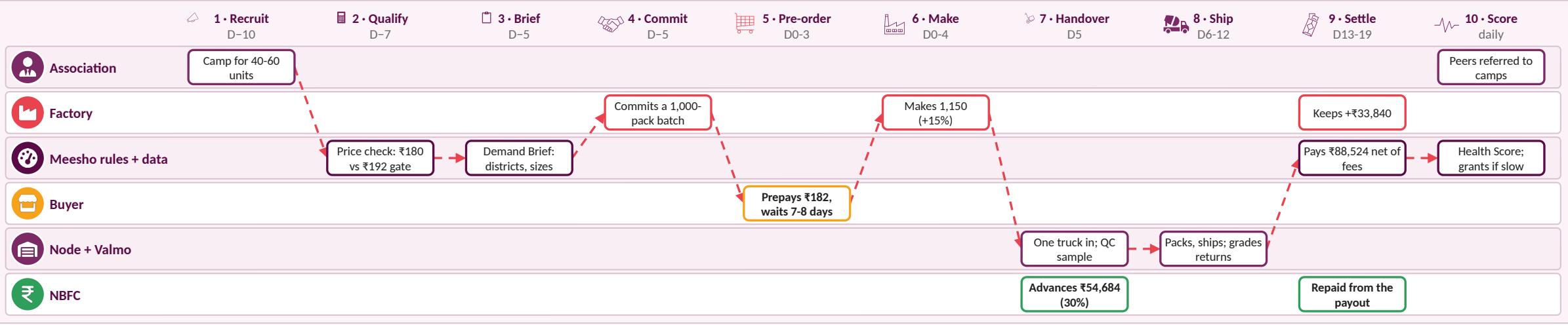
Decision: target Cohort A in hosiery and home textiles first, re-invite Cohort C in parallel, offer Cohort B value-tier only. Owner: Category · KPI: 60 factories catalogued by Day 60.

Sources: S5 MSME limits · S7 Udyam · S9 · S20 category mix · S22 Round 1 (12-category screen, 24 interviews, cohort split) | Rubrics: Appendix C | ✓ = 5, - = 3, ✗ = 1 | Personas are composites, not real firms

Six users, one flow: buyers prepay, factories make, nodes ship, an NBFC funds and Meesho runs the rules

USERS & FLOW

End-to-end flow for one 1,000-pack prepaid batch: who does what, and when (D = day of the pre-order window)



Six user personas (resellers are affected, not users: the badge is capped at 20% of category impressions)

Value-seeking buyer
Tier-2+ shopper · ~10 orders a year [S1]

Wants: lowest price, reliable delivery, easy returns

Pain: 63% still pay cash on delivery [S1]; unsure about prepaying for a 7-8 day wait

Does: prepays ₹182 for a 3-pack instead of ₹209

Gets: ₹26.7 off a pack; a "Sold directly by the manufacturer" badge

Uses: Meesho app; UPI pre-order at checkout

KPI: Prepaid share ≥ 68.5%

Factory owner
4 personas on page 3 (cohorts A, A, C, B)

Wants: orders before cutting fabric; no packing team

Pain: build-to-stock risk; 45-60 day distributor terms

Does: price check, commits batches, drops stock in bulk

Gets: ₹18.3 a pack vs ₹7.9 ex-factory; cash in ~11 days

Uses: Supplier app, WhatsApp, voice agent

KPI: First batch ≤ 14 days

Category manager
Meesho · ~910 C2M sellers each

Wants: category NMV protected; few manual cases

Pain: cannot chase hundreds of sellers by phone

Does: acts only when a score stays below 40 after an automatic fix

Gets: control tower: price screen, Health Score queue, Day-30 readout

Uses: Control-tower dashboard (prototype)

KPI: ≤ 5 escalations per 100 a month

Node operator
Partner 3PL in the cluster; Valmo delivers onward

Wants: steady daily volume; clean order data

Pain: idle space between seasons

Does: takes bulk drops; picks, packs, ships; grades returns

Gets: ₹20 a unit (pack ₹6, handle ₹9, freight ₹5); ₹1.3 cr set-up support

Uses: Order feed from Meesho; Valmo pickups

KPI: 95% shipped within 48 h

NBFC partner
Lender to marketplace sellers [S26]

Wants: short, low-risk loans

Pain: cannot see small factories' order flow

Does: advances 30% of confirmed pre-order value at handover

Gets: repaid from the payout ~7 days after delivery; buyers already prepaid; Meesho covers the first 1% of losses

Uses: Confirmed-order data shared by Meesho

KPI: Advance within 24 h; losses ≤ 1%

Cluster association
Tiruppur and Panipat industry bodies

Wants: orders for members hit by export swings

Pain: Panipat exports −50%, domestic −35% [S9]

Does: hosts camps of 40-60 units; vouches for members

Gets: domestic demand for members; MSME-TEAM co-funding, ₹277 cr scheme [S18]

Uses: Camps, member WhatsApp groups

KPI: ≥ 50% of camp units listed

Decision: sign the three partner roles before the first batch (two associations, one Tiruppur node, one NBFC); first prepaid batches in Week 10. Owner: Category + Valmo + Finance · KPI: all signed by Day 60.

Sources: S1 (10.3 orders per buyer a year; 37% of shipped orders prepaid), S9, S12 (₹24 SMB fulfilment), S18 MSME-TEAM, S26 seller loans; prototype (~910 sellers per manager) | Flow numbers: one 1,000-pack batch (page 10) | Personas are composites, not real people or firms

Big idea: Factory Direct lets a factory sell to 274 mn buyers without an e-commerce team, reached through cluster camps

AWARENESS & STRATEGY

Behaviour change, one factory owner (illustrative): from export shock to repeat batches

Day −30
Murugan's US order is cut under the 50% tariff; a third of his knitting lines sit idle [S8].

1 → **Day −10**
At a Tiruppur association meet, Meesho's cluster team runs a Factory Direct camp for 50 units.

2 → **Day −7**
He sends his making cost on WhatsApp: lowest viable price ₹180 vs the ₹192 gate. He qualifies.

3 → **Day −5**
A Demand Brief shows which districts buy men's briefs; he commits a 1,000-pack prepaid batch.

4 → **Day 5**
One truck to the Tiruppur node: ₹54,684 lands at handover; the node ships every order.

5 → **Day 13-19**
Paid ₹33,840 more for kept orders, net of fees; he refers two neighbouring units.

6

Trigger: export shock | **Lever: cluster camp** | **Lever: price check** | **Lever: Demand Brief + pre-order** | **Lever: node + 30% advance** | **Outcome: repeat + referral**

Rationale: why factories switch

- ✓ No pick-pack-ship team needed
- ✓ Make only confirmed orders (+15%)
- ✓ 30% cash at handover, rest in ~11 days
- ✓ ₹18.3 a pack vs ₹7.9 ex-factory
- ✓ Domestic hedge against export swings
- ✓ 0% commission; ₹0 RTO fee

Channels to reach factories: ATL · TTL · BTL (segment each one targets)

ATL reach

- **Regional business news + YouTube explainers** in Tamil and Hindi (A)
- **Supplier-app banner** to 1.04 mn existing sellers (C) [S1]

TTL reach

- **WhatsApp + Gen-AI voice agents** in local languages, already live at Meesho (A, C) [S1]
- **Price-check link** shared by seller agencies (B)

BTL reach

- **Association camps** Tiruppur and Panipat bodies, 40-60 units each (A)
- **MSME-TEAM / ONDC workshops** ₹277 cr scheme to co-fund camps [S18]
- **Dormant-seller re-invite** one WhatsApp, KYC on file (C)

Cluster camps: why · what · how

Why? Factories sit together: ~3,200 knitwear units in Tiruppur [S8]; ~₹60,000 cr turnover in Panipat [S9].

What? Live price check, Demand Brief demo, node visit, GST and KYC desk.

How? The association hosts; 40-60 units a camp; a factory can list the same day.

Measure: units attended → price checks → listed → first batch, per camp.

The offer: product · promotion · place · price

Product

Factory Direct stack: price check, Demand Brief, pre-order window, Factory Node, 30% advance, returns firewall. One supplier app, six levers.

Promotion

Camp + WhatsApp campaign "Your factory, India's buyers"; buyers see "Sold directly by the manufacturer" and the price gap.

Place

Tiruppur and Panipat first, 12 clusters by Year 4, one partner node each; supplier app, WhatsApp and voice agent.

Price

0% commission · node fee ₹20/unit · ₹0 RTO fee · ₹10 pre-order discount, funded by the ₹11 batch saving

Bottlenecks and solutions

Distrust after returns shocks → returns end at the node; a pool caps losses.

Export orders return (tariff now 18%) → batches fill idle lines between export runs.

Fear of a price squeeze → the gate rewards a gap that exists; Meesho never asks for cuts.

Decision: launch Factory Direct camps with the Tiruppur and Panipat associations. Owner: Category + Growth · KPI: 40-60 units a camp, ≥ 50% of qualified factories listed within 30 days.

Sources: S1 (274 mn buyers; 1.04 mn sellers; Gen-AI voice agents), S8 Tiruppur, S9 Panipat, S18 MSME-TEAM, S21 | Story is an illustrative composite (Murugan is not a real person); its numbers come from the model (Appendix B) | Assumptions: A10, A20, A22, A32

Of three ways to bring factories online, only Factory Direct removes unit operations, stock risk and returns within FDI rules

MODEL COMPARISON

1 · Open marketplace (factory self-ships)

The factory lists, then packs, ships and takes back every return itself.

Factory → Packs each order → Courier → Buyer

- **Factory does:** list, pack, ship, take back returns
- **Platform does:** storefront, payments, courier
- **Result:** lowest viable price ₹194, 7.2% below: fails the 8% gate

Who runs it: Meesho today · Amazon · Flipkart

VS

2 · Fully managed (platform buys and holds stock)

The factory sells stock to the platform, which prices, stores and ships it.

Factory → Platform buys → Platform warehouse → Buyer

- **Factory does:** make to the platform's purchase order
- **Platform does:** buy, price, store, ship, handle returns
- **Result:** not allowed: an FDI marketplace may not own seller stock [S19]

Who runs it: Temu (fully managed) · Shein

VS

3 · Factory Direct (seller-owned stock at a node)

The factory makes confirmed pre-orders and drops them in bulk; a partner node ships and takes returns.

Factory → Pre-order batch → Factory Node → Buyer

- **Factory does:** make confirmed batches, keep title
- **Node and Meesho do:** pick, pack, ship, returns; demand data, gate
- **Result:** lowest viable price ₹180, 13.8% below: clears the gate

Who runs it: Temu semi-managed · Pinduoduo · Taobao C2M

Comparison of C2M operating models (✓ removes the barrier · - partly · × no)

Strategy considered	Advantages	Disadvantages	Unit ops	Stock risk	Returns	FDI-legal	Low capex
1 · Open marketplace	No capex; the factory keeps control	Needs a packing and returns team; builds stock blind; ₹72 logistics per pack	×	×	×	✓	✓
2 · Fully managed	The factory only makes; the platform runs everything	Platform owns inventory: barred for FDI marketplaces (Press Note 2); price-squeeze risk	✓	✓	✓	×	×
3 · Factory Direct	Node runs unit ops; batches only for confirmed orders; seller keeps title	Needs node partners (₹1.3 cr each) and a 7-8 day pre-order wait	✓	✓	✓	✓	-

What a tick means: *the model takes that barrier off the factory entirely (unit ops, stock risk, returns), is allowed for an FDI-funded marketplace, or needs under ₹2 cr of Meesho capex per cluster.*

Temu: moved US sellers to semi-managed: 20% of US GMV by Q3 2024 [S16]

Shein Brazil: 336 of 2,000 factories signed; 1 still producing after price-cut asks [S17]

Meesho Valmo: started as a capped H2 bet; now 50-55% of deliveries [S1, S2]

Costs considered per model (₹ per 3-pack kept)

Cost line	Self-ship	Factory Direct
Logistics (forward + pack / node)	72.4	68.4
Unsold stock	5.6	0.9
Working capital	2.2	0.4
Returns (₹150 each)	13.0	13.0
Lowest viable price	₹194	₹180

Fully managed: not costed; an FDI marketplace may not own seller stock [S19].

Meesho's cost: ₹1.3 cr set-up per partner node; 12 nodes by Year 4 (page 11).

Node fee: ₹20 a unit (pack ₹6, handle ₹9, bulk freight ₹5) vs ₹24 for SMB fulfilment [S12].

Decision: build Factory Direct (seller-owned stock at partner nodes plus prepaid batches); Meesho never takes title to stock. Owner: Valmo + Legal · KPI: zero inventory-control findings.

Sources: S1, S2 (Valmo 50-55% of deliveries), S16 Temu semi-managed, S17 Shein Brazil, S19 Press Note 2 (marketplace may not own or control seller inventory), S23-S25 | Costs per pack from the unit-economics table (page 10, Appendix C)

Pinduoduo, Taobao, Temu and Shein built C2M on demand data and small batches; RICE puts the ₹0 price gate first

BEST PRACTICES

Best practices: five platforms × five dimensions

Parameter	Pinduoduo NBI · China	Taobao C2M · China	Temu semi-managed	Shein on-demand	Shein Brazil (avoid)
Strategy used	Anonymised demand data to factories	Factory-direct value app (Taobao Deals)	Merchant stock in local warehouses; platform storefront	Test every product in a small first batch	Local factories asked for ~30% price cuts
Scale (dated)	**900+ factories, 2,200+ custom SKUs, 115 mn+ orders, end-2019 [S15]**	**Target 10 bn new orders in 3 yrs, 2020 [S23]; 280 mn buyers, 2021 [S24]**	**20% of US GMV, Q3 2024; +80,000 merchants planned [S16]**	**100-200 item first runs (2024) [S25]**	**336 of 2,000 signed; 1 producing, Feb 2026 [S17]**
Data and tech	Search and order data, anonymised	Consumer insight for product R&D	Platform pricing and traffic	Real-time sell-through decides restocks	Demands without demand data
Risk-sharing	Factory keeps its brand; co-developed SKUs	Alibaba finance arms lend to factories	Merchant holds stock and returns risk	Shein absorbs the test-batch risk	Factory bears all cost of the cuts
Meesho copies	Demand Brief	NBFC batch prepayment	Seller-owned node stock	Confirmed-order batches	Never ask for price cuts

Pattern: **every winner gave factories demand data or finance before asking for anything; the one failure asked for price cuts and gave nothing.**

Benefits analysis of Factory Direct (master model)

−13.8%	**2.3×**	**~11 days**	**−4.7 pts**	**₹5.8**	**2%**
buyer price vs the ₹209 market (briefs)	factory margin a pack: ₹18.3 vs ₹7.9 ex-factory	cash cycle vs 45-60 days on distributor terms	failed deliveries per C2M order (prepaid pre-orders)	Meesho value per C2M order (page 11)	unsold stock vs 10% building to stock

Inspiration: what we copy, in order

Measure the gap → **Share** demand → **Batch** on orders → **Stock** near buyers

Pinduoduo/Taobao → Pinduoduo → Shein → Temu

Potential pitfalls and our guardrail

- **Price squeeze (Shein Brazil):** the gate measures a gap that exists; no price asks
- **Platform-owned stock (Temu full-managed):** seller keeps title; the node is an arm's-length 3PL
- **Order subsidies:** impressions, never rupees per order
- **Capex before demand:** no node before the Day-30 gate

R.I.C.E. prioritisation: score = reach × impact × confidence ÷ effort

Lever	Reach	Impact	Conf.	Effort	Score	Yr-1
1 · Price gate + C2M badge	900	★★☆	90%	2 p-m	810	₹0
2 · Health Score + rulebook	900	★★☆	85%	3 p-m	510	₹0
3 · Cluster co-op onboarding	810	★★☆	85%	3 p-m	459	₹5.0 cr
4 · District Demand Brief	900	★★☆	75%	4 p-m	338	₹6.0 cr
5 · Prepaid pre-order batches	765	★★★	70%	5 p-m	321	₹0
6 · Factory Node (partner 3PL)	900	★★★	80%	8 p-m	270	₹7.8 cr
7 · Batch prepayment (NBFC)	675	★★☆	70%	4 p-m	236	₹0.2 cr
8 · Returns firewall pool	630	★★★	65%	6 p-m	205	₹3.0 cr

Sequence: diagnostic and free first, capital last. RICE order already respects dependencies: batches need the brief, prepayment needs batches, the firewall needs the node.

Decision: build in RICE order (price gate → Health Score → co-ops → Demand Brief → batches → node → prepayment → firewall); never ask a factory for a price cut. Owner: Strategy.

Sources: S15 KrASIA, S16 Tech Buzz China, S17 Reuters, S23 Xinhua, S24 Alibaba results, S25 AFP · benefits from the master model (pages 10-11) | RICE: reach = sellers touched in Year 2; effort = person-months; full benchmark table: Appendix C

Seven stages, each with a trigger, a non-cash nudge and a KPI, turn first batches into repeat factories without subsidy

JOURNEY & SCALE-UP

Manufacturer journey: actions, touchpoints, emotions, pain points, interventions, KPIs

Stage	When	Manufacturer action	Touchpoint	Feels	Pain point	Meesho intervention (automatic)	KPI target
Discover	D−30	Hears of it at an association camp	Camp, WhatsApp	Sceptical	*"Platforms mean returns"*	Live price check at the camp	**Camp → price check ≥ 60%**
Qualify	D−7	Enters making cost	Supplier app	Hopeful	*Unsure of the real market price*	Gap vs the demand-weighted median	**Qualified → listed ≥ 50% in 30 days**
First batch	D0-5	Commits a prepaid batch	Demand Brief, node	Anxious	*Fear of unsold stock*	Make orders + 15%; 30% advance	**First batch ≤ 14 days**
Activate	D0-14	Watches first orders	Score card	Worried	*No reviews, slow orders*	Starter impressions; +25K grant if < 60%	**≥ 60% of cohort orders at D7, D14**
Diagnose	Daily	Reads the weekly score	Health Score	Informed	*Unclear what to fix*	One rule-based fix at a time	**Days to recover**
Graduate	D30+	Scales batches	Prepayment	Confident	*Working capital*	Prepayment at score ≥ 80 for 30 days	**≥ 40% graduated by D60**
Retain	D60+	Repeats; refers peers	Weekly brief, Mall	Loyal	*Export orders return*	Weekly brief; Meesho Mall path	**Active at D90 ≥ 75%**

Incentives (non-cash) and nudges, stage by stage

Stage	Incentive	Nudge
Discover	Free price check	Peer stories at the camp
Qualify	C2M badge + re-rank	Your gap vs the market
First batch	30% cash at handover	Batch size from the brief
Activate	+25K impressions × 7 days (max 2)	WhatsApp: grant applied
Diagnose	Fix suggestions	One fix, not ten
Graduate	Prepaid batches unlocked	Graduation progress bar
Retain	Meesho Mall path	Top-factory list at camps

Seller Health Score: 0-100, daily

30%	Price gap held
25%	Order pace vs cohort
20%	Quality returns
15%	On-time dispatch
10%	In-stock

≥ 80 for 30 days → graduate · < 40 after a fix → a person

Rulebook: 9 automatic actions, 1 human

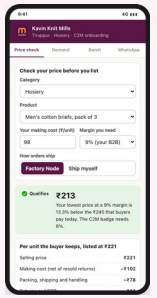
Signal	Action
Orders < 60% at D7/D14	Grant
Gap < 8% for 7 days	Price nudge
Gap < 4% for 3 days	Badge off
Returns > 1.5× norm	QC hold
On-time < 90% (7 days)	Node offer
In-stock < 70%	Restock nudge
Score ≥ 80 × 30 days	Prepayment
Score < 40 after a fix	A person

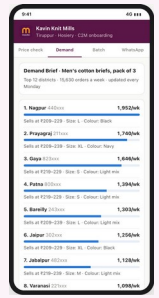
Grants scale; people don't

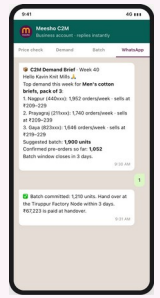
90:3 automated vs human actions in the 60-seller simulated pilot

~910 sellers per category manager; 1,400 sellers need ~2 reviewers, not ~70 account managers. Grant cost: ₹3,750 per seller at most, **20× cheaper than ₹10 an order for 30 days.**

Channels: WhatsApp, voice agent, supplier app (prototype)


Price check


Demand Brief


WhatsApp nudge

Decision: switch on grants, the Health Score and the rulebook with the first 60 sellers; cap grants at 20% of category impressions. Owner: Growth + Data Science · KPI: active at D90 ≥ 75%.

Sources: S1 (seller tools: demand intelligence, faster visibility for new sellers, Gen-AI voice agents), S2 | Assumptions: A19 (₹75 per 1,000 impressions); a category manager reviews 40 escalations a month | Prototype: synthetic 60-seller pilot, fixed seed

Tiruppur and Panipat top the cluster AHP (CR 0.016); factories qualify only with 60% of SKUs 8% below market

CLUSTER CRITERIA

Selection criteria and reasoning

Criterion	Reasoning	Data source
Cost ownership	Own raw material, production, scale, automation → a real price edge	Round 1 cost-lever index
Demand on Meesho	The category already sells at volume on Meesho	Teardown [S10]; category mix [S20]
Returns band	Low returns protect the cost edge	Return math; seller guides [S11]
Node feasibility	A partner warehouse and a Valmo lane nearby	Valmo network [S2]
Institutional partner	An association that recruits 40-60 units a drive	Tiruppur, Panipat bodies [S8, S9]

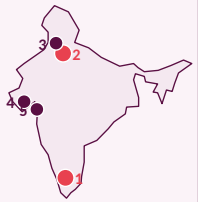
AHP pairwise matrix (CR 0.016 < 0.10: consistent)

Criteria		C1	C2	C3	C4	C5	Geo. mean	Weight	Rank
Cost ownership	C1	1	1	2	3	4	1.89	0.338	1
Demand on Meesho	C2	1	1	1	2	3	1.43	0.256	2
Returns band	C3	1/2	1	1	1	2	1.00	0.179	3
Node feasibility	C4	1/3	1/2	1	1	2	0.80	0.144	4
Institutional partner	C5	1/4	1/3	1/2	1/2	1	0.46	0.083	5

Cluster scoring → choice

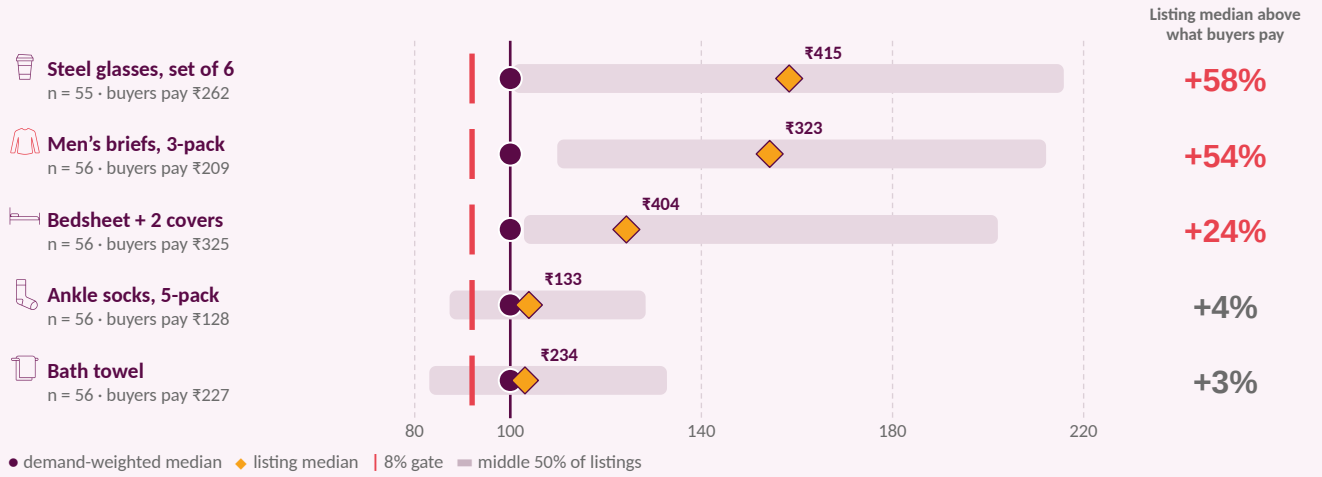
Criteria	Weight	Tiruppur	Panipat	Ludhiana	Rajkot	Surat
Cost ownership	0.338	5	5	4	4	2
Demand on Meesho	0.256	5	4	3	3	5
Returns band	0.179	4	5	4	5	2
Node feasibility	0.144	4	4	4	3	5
Institutional partner	0.083	5	4	4	3	3
Score · rank		4.68 · #1	4.52 · #2	3.74 · #3	3.70 · #4	3.28 · #5

Robust: Surat overtakes Panipat only if the demand weight rises from 0.26 to 0.67; equal weights keep the order.



Pin = rank; coral = pilot

Live teardown: what buyers really pay (279 listings, index 100 = demand-weighted median)



Price gate: assumptions → calculation → result (men's briefs, 3-pack)

Assumptions

Listing median ₹322.5 [S10]
Demand-weighted median ₹209 [S10]
Gate: SKU ≥ 8% below median
Badge: ≥ 60% of live SKUs clear
Sellers above ₹5 cr GMV
Seller with > 30% of a set's orders scored without its own orders
SKU needs ≥ 10 delivered orders to count
Re-scored weekly; badge off below a 4% gap

Approach 1: listing median

gate = ₹322.5 × 0.92 = ₹296.7
24 of 56 listings clear (43%)
Too loose: the badge would sit on 4 in 10 listings, including resellers.

Approach 2: demand-weighted median

gate = ₹209 × 0.92 = ₹192.3
6 of 56 listings clear (11%)
Only real cost edges clear: the badge means something.

Result: factory floor ₹180 → 13.8% below ✓ · reseller ₹220 → −5.4% ✕

Prototype verdict (180 sellers > ₹5 cr)	Sellers	Action
C2M-ready	62	Badge + re-rank + Demand Brief
Scale without price	84	No badge; value-tier SKUs
Loss-leader pattern	18	No badge: catalogue gate holds
Near miss	16	Node offer; re-score in 28 days

Decision: pilot in Tiruppur and Panipat; run the price gate on demand-weighted medians in weeks 1-3 at ₹0 capex. Owner: Category + Pricing · KPI: badge lift ≥ 12% vs holdout by Day 30.

Sources: S2, S8, S9, S10 team teardown (meesho.com, 2 Oct 2026; 56 listings per query; reviews as demand weights), S11, S20, S22 (cluster scores) | AHP workings: Appendix C | Verdicts: prototype, synthetic sellers

A prepaid 3-pack costs ₹164 vs a reseller's ₹200.5; of the ₹45 freed, buyers get ₹26.7 and the factory ₹18.3

UNIT ECONOMICS

Unit economics per 3-pack kept, one change per column (Tiruppur men's briefs)

	Reseller today	Factory lists direct	+ Factory Node	+ Prepaid pre-order batch
Scenario	*Existing: buys via a wholesaler, ships, stocks*	*Step 1: no wholesaler mark-up*	*Step 2: bulk drop; node packs, ships, grades*	*Proposed: make confirmed orders + 15%*
Per 100 shipped: failed deliveries	14.0	14.0	14.0	4.6
Delivered	86.0	86.0	86.0	95.5
Returned by buyers (8%)	6.9	6.9	6.9	7.6
Kept (paid for)	**79.1**	**79.1**	**79.1**	**87.8**
Goods, net of resold returns (₹)	105.1	83.2	82.1	81.1
Unsold stock written down	7.1	5.6	5.6	0.9
Logistics: forward + pack / node fee	72.4	72.4	70.9	68.4
Customer-return fees (₹150 each)	13.0	13.0	13.0	13.0
Working capital (18% a year)	2.8	2.2	2.2	0.4
Cost per pack kept	**200.5**	**176.5**	**173.9**	**164.0**
Lowest viable price (9% margin)	**₹220**	**₹194**	**₹191**	**₹180**
Gap vs ₹209 demand-weighted median	**−5.4%**	**7.2%**	**8.5%**	**13.8%**
Clears the 8% gate (≤ ₹192)?	**× no**	**× no**	**✓ yes**	**✓ yes**

Highest making cost that clears the gate: ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of factories that qualify.

One prepaid batch of 1,000 packs at ₹182, stage by stage

Stage	What happens	₹
1 · Pre-order window	1,000 confirmed; make 1,150 (+15%)	**₹1,82,280 order value**
2 · Handover at node	30% advanced by the NBFC	**+₹54,684**
3 · Delivery	46 failed (4.6%) · 76 returned	**878 kept**
4 · Revenue on kept orders	878 × ₹182.3	**₹1,60,067**
5 · Fees	forward ₹40,089 · node ₹20,000 · returns ₹11,454	**−₹71,543**
6 · Payout, 7 days after delivery	net of fees; repays the advance	**₹88,524**
7 · Balance to the factory	payout − advance	**+₹33,840**

Where the ₹45 per pack goes (pre-order vs a reseller at ₹209)

₹45 = ₹36.5 lower cost (no wholesaler, node, batches) + ₹8.5 reseller margin

Buyer ₹26.7 · 59% | Factory ₹18.3 · 41%

- **Buyer:** pays ₹182 instead of ₹209.
- **Factory:** earns ₹18.3 a pack vs ₹7.9 selling ex-factory (2.3×).
- **Meesho:** earns per order, not per rupee: ₹5.8 per C2M order (page 11).

Assumptions (every input carries an [A#] in Appendix B)

Factory
Making cost ₹80 a pack [A22]
Margin 9% on price [A23]
Capital 18% a year [A30]

Market
Demand-weighted median ₹209 [S10]
Gate −8% = ₹192
Pre-order ₹10 off [A32]

Logistics
Forward ₹55 self / ₹42 node
Packing ₹10 · node fee ₹20 [A28]
Wholesaler +15% [A24]

Returns
Failed 14% (4.6% prepaid)
Returned 8% of delivered [A25]
₹150 return fee · ₹0 RTO fee

Stock
Unsold 10% vs 2% [A31]
Salvage 50% · recovery 85%/90%
45 vs 10 inventory days [A30]

Decision: price pre-orders at the gate less ₹10 (₹182), funded by the factory's ₹11 batch saving. Owner: Pricing + Category · KPI: factory margin ≥ ₹18 a pack.

Sources: S10 (₹209 demand-weighted median), S11 (₹150 return fee, ₹0 RTO fee), S12, S13 | Assumptions: A10, A11, A20, A22-A32 (making cost ₹80 to confirm in interviews) | Workings: Appendix C

₹75 cr NPV at 12% and payback in Year 3; NPV stays positive down to 45% of planned seller yield

FINANCIAL ANALYSIS

Five-year case (₹ cr, nominal; NPV = sum of the PV row)

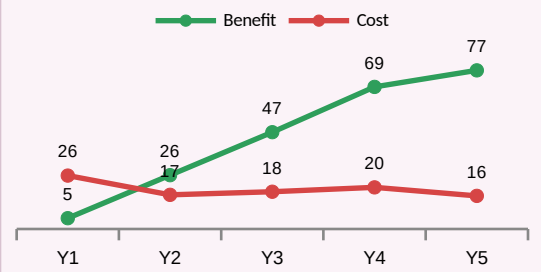
	Year 1	Year 2	Year 3	Year 4	Year 5
Average active sellers [A3]	200	700	1,050	1,300	1,450
C2M NMV, year average [A4]	140	700	1,260	1,853	2,066
Placed orders (mn)	9	45	81	119	133
Incremental orders × ₹7.3 [A8]	2.6	13.2	23.8	34.9	39.0
Fewer failed deliveries × ₹60 [A11]	2.6	12.8	23.0	33.8	37.7
Benefit to Meesho	**5.2**	**26.0**	**46.8**	**68.7**	**76.7**
People [A13, A14]	3.6	6.0	7.2	7.8	7.8
Cluster onboarding [A15]	5.0	3.0	2.0	2.0	0.0
Demand Brief [A16]	6.0	3.0	3.0	3.0	3.0
Factory Nodes [A17]	7.8	2.6	2.6	2.6	0.0
Returns pool, grants, first-loss [A18-A20]	3.4	1.9	3.2	4.7	5.2
Programme cost	**25.8**	**16.5**	**18.0**	**20.1**	**16.0**
Net cash flow	**−20.6**	**9.5**	**28.7**	**48.6**	**60.7**
Discount factor at 12%	*0.893*	*0.797*	*0.712*	*0.636*	*0.567*
PV at 12%	**−18.4**	**7.6**	**20.4**	**30.9**	**34.4**

NPV at 12%
₹74.9 cr
NPV at 15%
₹66.1 cr
IRR
105%
Payback
Year 3
Discounted payback
Year 3
Year-1 cash (+ people)
₹22.2 cr (+₹3.6 cr)

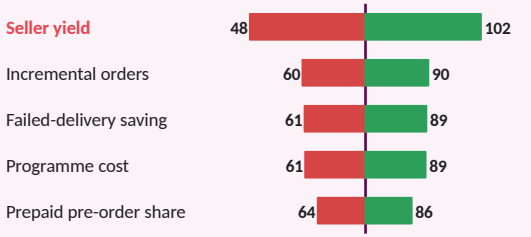
Opportunity: what each phase is worth (exit run-rates)

	Pilot · Day 90	Year 1 exit	Year 4 exit
Clusters · nodes · active sellers	2 · 1 · 60	5 · 6 · 450	12 · 12 · 1,400
Run-rate NMV (× ₹1.425 cr per seller)	**₹85.5 cr**	**₹641 cr**	**₹1,995 cr**
Share of FY26 NMV	0.2%	1.5%	4.8%
C2M orders a day (share of Meesho's)	15,000 (0.2%)	1,13,000 (1.4%)	3,52,000 (4.4%)
Buyer savings a year (8-12% gap)	**₹7.4 cr-₹11.7 cr**	**₹55.8 cr-₹87.4 cr**	**₹173 cr-₹272 cr**
Meesho value a year	₹3.2 cr	₹23.8 cr	₹74.0 cr

Benefit vs programme cost (₹ cr, nominal)



Sensitivity: NPV at −20% / +20%



Base ₹75 cr; left = worse

Break-even and scenarios

NPV = 0 at 45% of planned seller yield (49% of planned benefit). Positive even with zero incremental orders (₹1 cr) or no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

Bear −₹10 cr
20% incremental · 8-pt gap · 75% yield



Base ₹75 cr
40% incremental · 15-pt gap · plan yield



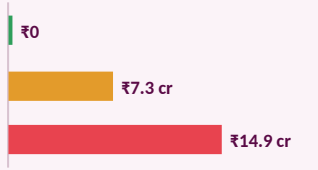
Bull ₹140 cr
55% incremental · 20-pt gap · 110% yield



What changed since Round 1, and how money is released

Round 1: ₹156 cr NPV counted contribution on every C2M order. Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr. Value per C2M order = 40% × ₹7.3 + ₹2.8 = ₹5.8.

Day 0-30	₹0: badge test on existing order data
Day 31-90	₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed
Q2-Q4	₹14.9 cr: 3 clusters, 5 nodes, Brief run



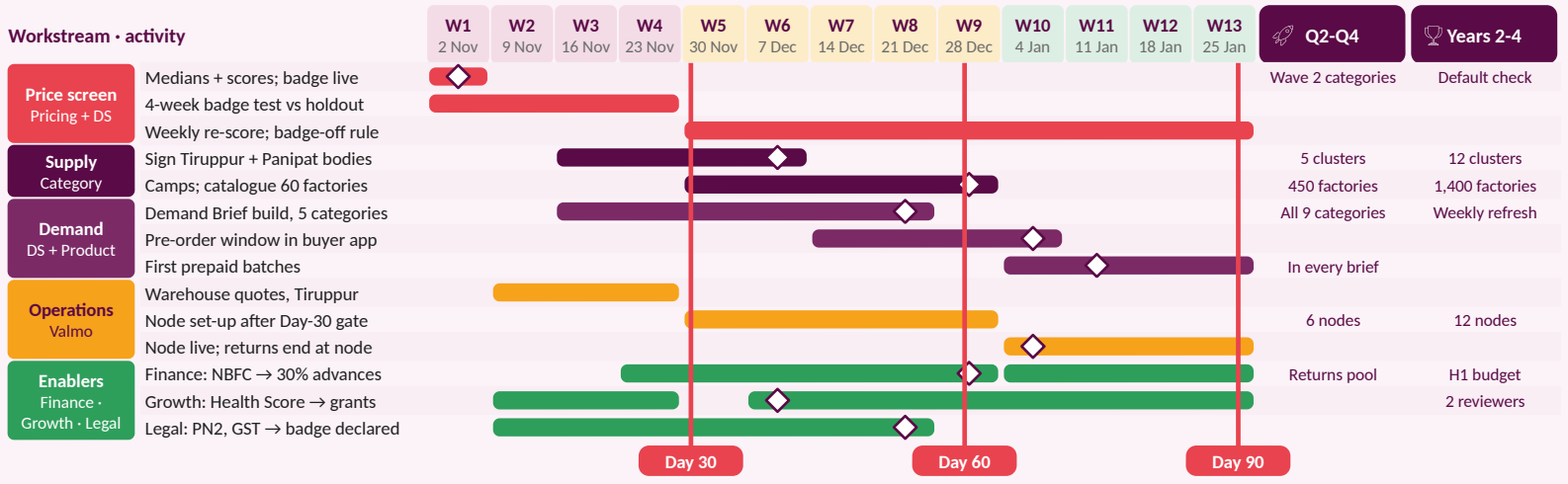
Decision: approve ₹22.2 cr of Year-1 cash as a capped H2 bet, released at the Day-30 and Day-90 gates. Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr.

Sources: S1 (₹531 cr contribution on 725 mn placed orders; prepaid 37%; NMV ₹11,614 cr on GMV ₹19,054 cr), S3, S11, S13 | NPV: t = 1..5, year-end, no terminal value; year NMV uses average active sellers, the ladder shows exit run-rates | Register: Appendix B

Prove the gap by Day 30, sign partners by Day 60, ship prepaid batches by Day 90, on ₹7.3 cr

90-DAY PLAN

Week-by-week plan for the first 90 days (bars = active weeks · ◆ = milestone · coral lines = gates), then scale



Day 30 gate
Fund if badge lift ≥ 12% (interval > 0) and ≥ 70% still clear at D14; else tighten to a 10% gap, or stop

Day 60 gate
2 associations signed · 60 factories catalogued · briefs live in 5 categories · NBFC signed

Day 90 gate
3 of 4: batches shipped in SLA · returns end at the node · retention ≥ 70% · category NMV ≥ base

Money released
₹0 to Day 30 → ₹7.3 cr for Days 31-90 → ₹14.9 cr in Q2-Q4 (Year 1 cap ₹22.2 cr)

Top risks, sorted by likelihood × impact

Risk	L	I	Guardrail	Owner
The gap was a promotion	H	H	Day-30 stop rule; badge off below 4%	Pricing
Export recovery pulls factories back	H	M	Batches fill idle capacity between export runs	Category
Quality falls with price	M	H	Suspend at > 1.5× return norm; QC hold	Category
Sellers game the badge with a few cheap SKUs	M	M	≥ 60% of live SKUs must clear; dominant-seller rule	Pricing
Node or advances read as inventory control	L	H	Seller keeps title; NBFC lends; 3PL fees at arm's length	Legal
Re-rank starves resellers	L	M	≤ 20% of category impressions; category NMV guardrail	Growth

Metrics & KPIs: onboarding → activation → retention, with guardrails (north star: C2M NMV still clearing the gate)

Stage	KPI	Day 30	Day 60	Day 90	Year-1 exit	Owner · cadence
Scale	Active C2M sellers	Shortlist	60 catalogued	60 live	450	Category · weekly
Onboarding	Qualified → listed within 30 days	—	≥ 50%	≥ 50%	≥ 50%	Category · weekly
Onboarding	Days to first prepaid batch	—	—	≤ 14	≤ 14	Category · weekly
Activation	Orders at D7 / D14 vs cohort median	—	—	≥ 60%	≥ 60%	DS · daily
Activation	Prepaid share of C2M orders	—	—	≥ 37%	≥ 68.5%	Finance · weekly
Retention	Sellers still clearing the 8% gate	≥ 70%	≥ 70%	≥ 70%	≥ 75%	Pricing · weekly
Retention	Factories active at Day 90	—	—	≥ 70%	≥ 75%	Category · monthly
Guardrail	Badge share of category impressions; category NMV	≤ 20%; ≥ base	≤ 20%; ≥ base	≤ 20%; ≥ base	≤ 20%; ≥ base	Growth · weekly
North star	Run-rate C2M NMV clearing the gate	—	—	₹85.5 cr	₹641 cr	Finance · monthly

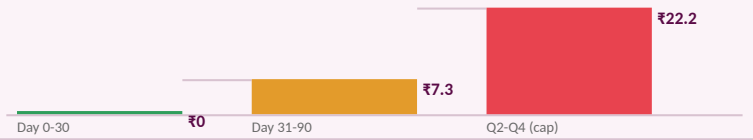
The ask

Budget ₹0 to Day 30; ₹7.3 cr for Days 31-90; ₹22.2 cr cash in Year 1 (+₹3.6 cr people), capped as an H2 bet

Decisions (1) run the badge test with a holdout from Week 1; (2) name owners in Pricing, Category, Valmo, Finance, Legal; (3) sign the associations, a Tiruppur node and an NBFC by Day 60; (4) declare the price-gap badge as a ranking parameter before 1 Jan 2027

Go / no-go badged NMV per live SKU ≥ 12% above holdout, ≥ 70% still clearing at D14

Year-1 cash released, cumulative (₹ cr)

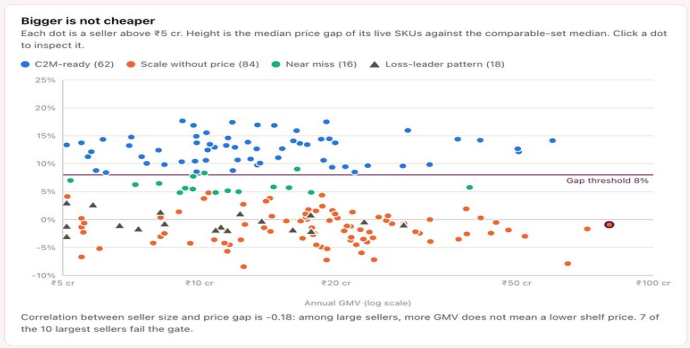


Ask: approve the ₹0 Day-30 test now and ₹7.3 cr for Days 31-90, released only if the Day-30 gate passes; Year 1 is capped at ₹22.2 cr.

Sources: S1 (H2 bets: hard budget cap, graduation on adoption and retention), S19 (Press Note 2; E-Commerce Amendment Rules 2026 in force 1 Jan 2027), S26 | Day 1 = Mon 2 Nov 2026 · Day 30 = 1 Dec · Day 60 = 31 Dec · Day 90 = 30 Jan 2027 | Compliance: Appendix C

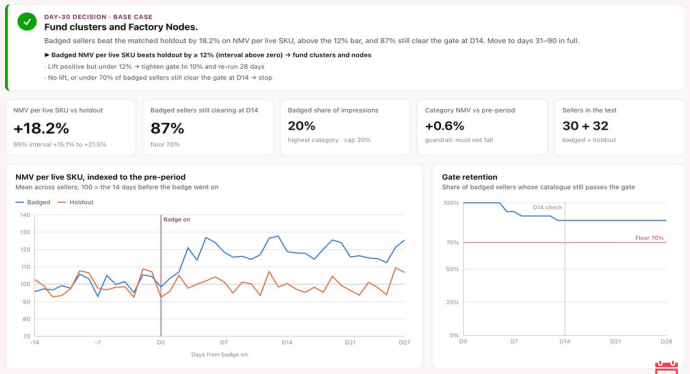
The working prototype runs every rule in this deck end to end, on synthetic data that mirrors Meesho's order tables

APPENDIX A



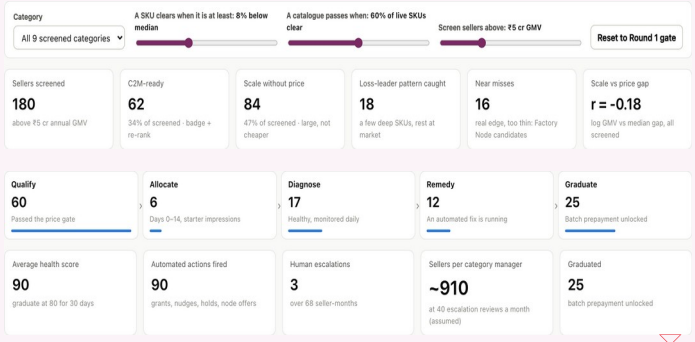
1 · Price Truth Index supports p9

Size vs price gap for every seller above ₹5 cr: r = −0.18; 7 of the 10 largest fail



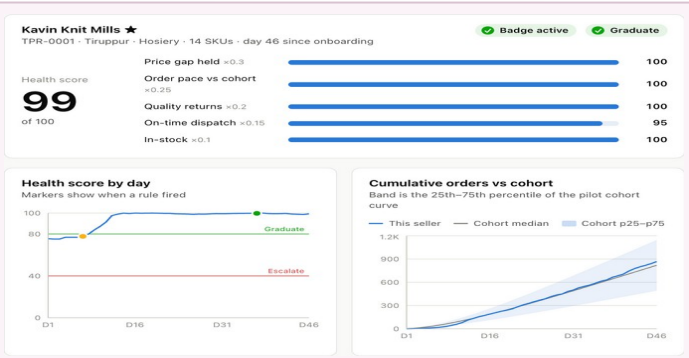
2 · Day-30 readout supports p12

Badged vs holdout: +18.2% (interval +15.1% to +21.5%) → fund



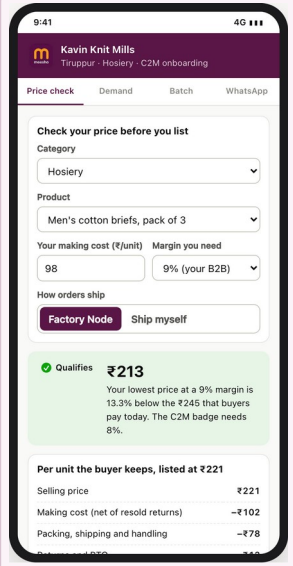
3 · Gate controls + Seller Health stages supports p8, p9

Gate sliders re-score every seller; 60 pilot sellers by stage



4 · One seller's Health Score supports p8

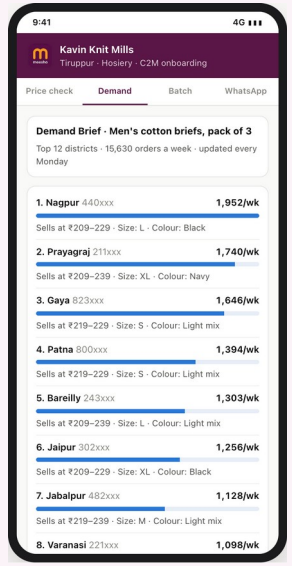
Five signals, the rule that fired, the next action



5 · Manufacturer app: price check

Lowest viable price vs market median, before listing

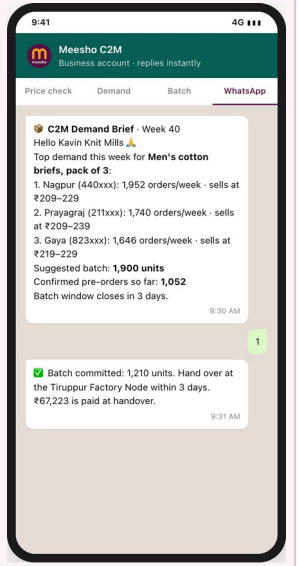
supports p5, p10



6 · Demand Brief + batch

District demand → batch size → one-tap commit

supports p4, p8



7 · WhatsApp nudges

Grant applied, batch confirmed, payout dates

supports p8

What the prototype runs on

261	4,415	9	4
synthetic sellers	SKUs listed	C2M categories	model tests before every deploy

Open it live: meesho-dice-c2m-iitb.vercel.app

Mirror: prathmesh-28.github.io/c2m-control-tower · Offline: one HTML file in prototype/dist-single

Prototype: React + Recharts static site; 261 synthetic sellers, 4,415 SKUs, 9 categories; fixed seed; fictional names; four model tests run before every deploy | Supports pages 4, 5, 8, 9, 12

Every figure in the deck traces to a numbered source [S#] or a registered assumption [A#] in one master model

APPENDIX B

Sources [S#] (publisher · title · date)

S1 Meesho: Q1 FY27 Shareholders' Letter (quarter to 30 Jun 2026) (Aug 2026)
S2 Meesho: Q4 FY26 earnings call transcript (6 May 2026)
S3 Deccan Herald; Apparel Resources; Inc42: Meesho FY26 results coverage (May 2026)
S4 ICRIER: Annual Survey of MSMEs in India 2025 (n = 2,365, Fig. 16) (Mar 2025)
S5 Ministry of MSME: S.O. 1364(E): revised MSME limits (21 Mar 2025)
S6 RBI: OBICUS, Q2 FY26: capacity utilisation 74.3% (Oct 2025)
S7 Udyam portal (team pull); PIB: Udyam registrations (Jun 2026; 28 Feb 2026)
S8 The Federal; Deccan Herald: Tiruppur output, exports, tariff impact (2025-26)
S9 The Tribune: Panipat textile industry hit by weak demand, high costs (17 Aug 2026)
S10 Team teardown: meesho.com search: 279 live listings, 5 product types (2 Oct 2026)
S11 Shiprocket; Robnu: Meesho seller fee guides (return fee, RTO policy) (2026)
S12 Shiprocket: Fulfilment pricing: ₹24 per order, 500-3,000 orders a month (2026)
S13 GoKwik via Base; TrackVid: COD vs prepaid RTO benchmarks (industry estimates) (2026)
S14 Flipkart newsroom; Business Standard: 0% commission moves (Amazon, Flipkart) (Nov 2025 - 8 Jul 2026)
S15 KrASIA: Pinduoduo New Brand Initiative (end-2019 figures) (2020)
S16 Tech Buzz China: Temu Watch #6: semi-managed share of GMV (27 Dec 2024)
S17 Reuters via FashionNetwork: Shein tried to turn Brazil into a production hub (Feb 2026)
S18 Inc42: MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs onto ONDC (2024)
S19 Khaitan & Co; LexOrbis: Press Note 2 (2018); E-Commerce Amendment Rules 2026 (2018; Sep 2026)
S20 Finnovate; Zappchai (DRHP-based): Meesho category mix estimates (2025)
S21 Apparel Resources: Tirupur rewires its growth playbook (owner interviews) (25 Jun 2026)
S22 Team 23B0747: Round 1 research: 24 interviews, cluster AHP, sizing funnel, category screen (Sep 2026)
S23 Xinhua: Taobao C2M: 10 bn new orders for factories in 3 years (27 Mar 2020)
S24 Alibaba Group: December Quarter 2021 Results (Taobao Deals) (23 Feb 2022)
S25 AFP via Malay Mail: Shein statement on 100-200 item first batches (24 Mar 2024)
S26 Bank of Baroda: E-commerce business loans for marketplace sellers (2026)

Assumption register [A#] (value · source · confidence H/M/L)

ID	Assumption	Value	Source	C
A1	Mature NMV per C2M seller	₹1.425 cr	S22	M
A2	Year-4 capture of SAM	12%	S22	M
A3	Average active sellers, Y1-Y5	200 → 1,450	Team plan	M
A4	NMV per seller, Y1-Y5 (₹ cr)	0.70 → 1.425	Team plan	M
A5	Typical target factory turnover	₹25 cr	S5	L
A6	Meesho NMV in C2M categories	40%	S20	L
A7	Price gap passed to buyers	8%-12%	S22	M
A8	Incremental share of C2M orders	40%	Team	L
A9	C2M GMV per order vs average	10%	A7	M
A10	Prepaid pre-order share	50%	survey	L
A11	Failed-delivery gap, COD vs prepaid	15 pts	S13	L
A12	Meesho cost per failed delivery	₹60	S11, S13	L
A13	Loaded cost per FTE-year	₹0.3 cr	Team	M
A14	Programme FTE, Y1-Y5	12 → 26	Team plan	M
A15	Clusters (year-end); onboarding cost	5 → 12; ₹1 cr each	S22	M
A16	Demand Brief cost, Y1-Y5	₹6 cr, then ₹3 cr	S22	M

ID	Assumption	Value	Source	C
A17	Nodes (year-end); set-up; life	6 → 12; ₹1.3 cr; 5 yrs	Team	L
A18	Returns firewall pool	₹3 cr; then 0.1% of NMV	S22	L
A19	Grant valuation; impressions	₹75 CPM; 50,000 impr.	Team	L
A20	NBFC advance; Meesho first-loss	30%; 1%	S26	L
A21	Discount rate; stress rate	12%; 15%	S22	M
A22	Making cost, briefs 3-pack	₹80	interviews	L
A23	Target margin on price	9%	S22	M
A24	Wholesaler mark-up	15%	Team	L
A25	Hosiery: failed deliveries; returns	RTO 14%; returns 8%	Team	L
A26	Return fee to seller	₹150	S11	M
A27	Failed-delivery fee to seller	₹0	S11	M
A28	Logistics fees, self / node	₹55/42 fwd; ₹10/20	S11, S12	L
A29	Value recovered, self / node	85% / 90%	Team	L
A30	Capital cost; inventory days	18%; 45 vs 10 days	S4	M
A31	Unsold share; salvage value	10% vs 2%; salvage 50%	Team	L
A32	Pre-order discount (7-8 days)	₹10	survey	L

Method and sample

Teardown [S10]: meesho.com search, 2 Oct 2026; first 56 listings per query; 279 listings, 5 product types; demand weight = review count; plastics query returned none and was dropped.

Interviews [S22]: 24 owners (8 per cohort, Round 1) + 3 published owner interviews [S21].

Buyer survey: [FILL: n, dates, quotas achieved vs target (≥ 150; ≥ 30 per tier); stated intent counted at 50%]

Power: 62 sellers × 28 days, SE ≈ 1.6 pts, MDE ≈ 4.5% at 80% power.

279	24	62 × 28	4.5%
listings	owner interviews	sellers × days	MDE at 80% power

Workings index (formula → page)

Sizing: NMV = sellers × ₹1.425 cr; savings = NMV × g ÷ (1 − g) → p3, p11
Unit cost: (make + unsold − resold + logistics + returns + capital) ÷ kept → p10
Benefit: orders × (incremental × ₹7.3 + Δfailed × ₹60) → p11
Δfailed: pre-order share × (1 − 37%) × 15 pts = 4.7 pts → p11
AHP: geometric means, CR = (λ − 5) ÷ 4 ÷ 1.12 → p9, Appendix C
RICE: reach × impact × confidence ÷ effort → p7



Detailed benchmarking, compliance by design and the model workings behind pages 3, 9 and 10

APPENDIX C

Detailed benchmarking: KPI × company (dated, sourced) and how Meesho uses it

	Pinduoduo NBI	Taobao C2M	Temu semi-managed	Shein	Shein Brazil
Year of data	End-2019	2020; Dec 2021	Q3 2024	Mar 2024	Apr 2023 - Feb 2026
Factories / merchants	900+ in C2M production	1,000 “super factories” targeted	+80,000 planned for 2025	Network (not disclosed)	336 signed of 2,000; 1 producing
Demand data to factories	✓ anonymised	✓ consumer insight	- platform prices	✓ real-time	×
Who holds stock	Factory	Factory	Merchant, local warehouse	Shein	Factory
Batching	Custom runs	C2M runs	—	100-200 item first runs	Large runs, fast
Price lever	Demand scale	Finance + insight	Platform-set	Small batches	~30% price-cut asks
How Meesho uses it	Demand Brief	NBFC prepayment	Seller-owned node	Pre-order batches	Never ask for cuts

Compliance by design

Rule	Requires	Our design
Press Note 2 (2018)	Marketplace may not own or control seller inventory	Seller keeps title at the node; Valmo sells warehousing at arm’s length
Press Note 2 (2018)	Fair, non-discriminatory services; no exclusivity	Badge and grants are published rules any seller can meet
E-Commerce Rules, 2026 amendment (from 1 Jan 2027)	Ranking parameters by importance; sponsored labelled	Publish the price-gap badge as a ranking parameter; grants are organic, never sold
Dark-pattern guidelines (2023)	No false urgency or hidden terms	“Ships in 7-8 days, ₹10 off” shown before payment
DPDP Act (2023)	Protect personal data	Demand Briefs use district aggregates only
GST	Stock at a third-party site	Node registered as the seller’s additional place of business

Cohort scoring behind the personas (page 3)

Cohort	Price edge 30%	Pool size 25%	Fixable 20%	Speed 15%	New supply 10%	Score
A · Offline B2B	5	5	4	2	5	4.35
C · Churned	4	2	5	5	1	3.55
B · Online elsewhere	3	3	2	4	4	3.05

Rubric (5 =): price edge: sells ex-factory B2B · pool: > 50% of SAM · fixable: all HIGH barriers fixable · speed: KYC + catalogue on Meesho · new supply: new to Meesho. *Equal weights give the same order (4.2 / 3.4 / 3.2).*

AHP workings (CR 0.016)

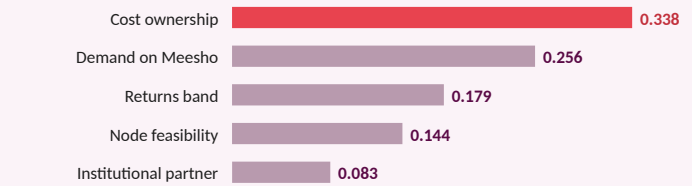
Method: reciprocal 1-9 matrix → geometric mean of each row → weight = mean ÷ sum of means.

Consistency: λmax = 5.072; CI = (λmax − 5) ÷ 4 = 0.018; CR = CI ÷ 1.12 = 0.016 < 0.10.

Check: weights 0.338 / 0.256 / 0.179 / 0.144 / 0.083 reproduce Round 1’s cluster scores (Tiruppur 4.68, Panipat 4.52).

Robustness: Surat overtakes Panipat only above a 0.67 demand weight.

Criterion weights (sum = 1.00)



Unit-economics workings (per 100 shipped)

Kept units = 100 × (1 − RTO) × (1 − returns) = 79.1 (prepaid: 87.8)

Unsold = extra units made × cost × (1 − 50% salvage); 10% build-to-stock vs 2% batch

Logistics = delivered × forward fee + shipped × packing (₹10) or node fee (₹20)

Capital = make cost × 18% × days ÷ 365 (45 vs 10 days)

Floor = cost per kept ÷ (1 − 9%) → proposed ₹164.0 ÷ 0.91 = ₹180.2

Reconciliation checks NPV ₹74.9 cr = Σ PV row (page 11) ✓ · Year-4 NMV ₹1,853 cr (average 1,300 sellers) vs ₹1,995 cr exit run-rate (1,400) ✓ · batch payout ₹88,524 = revenue − fees ✓ · RICE order = dependency order ✓

Cost per pack kept (₹), each lever added



Sources: S15-S19, S22-S25 | Compliance rows are design responses, not legal advice: Meesho legal confirms each before the pilot | Supports pages 3, 6, 7, 9, 10, 12